

SS2/17 - Remuneration

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Remuneration

Supervisory Statement 2/17

First published on 12 April 2017

This supervisory statement (SS) is relevant to all firms regulated by the Prudential Regulation Authority (PRA) which fall within the scope of the Remuneration Part of the PRA Rulebook.

The purpose of this SS is to set out the PRA's expectations on how firms should comply with the requirements of the Remuneration Part, enabling firms to make judgements which advance the objectives of the PRA. This SS replaces the following remuneration policy documents and letters to firms:

- * Legacy Supervisory Statement (LSS) 8/13 'Remuneration standards: the application of proportionality';
- * SS2/13 'PRA expectations regarding the application of malus to variable remuneration';
- * SS27/15 'Remuneration';
- * 'Remuneration - PRA expectations', 8 December 2014; and
- * 'Procedure to increase the permitted ratio of fixed to variable remuneration', 8 April 2014.

This SS is intended to be read together with the rules contained in the Remuneration Part.

This SS sets out the expectations of firms in relation to:

- * proportionality;
- * material risk takers (MRTs);
- * application of malus and clawback to variable remuneration;
- * governing body/remuneration committees;
- * risk management and control functions;
- * remuneration and capital;
- * risk adjustment (including long-term incentive plans);
- * personal investment strategies;
- * remuneration structures (including guaranteed variable remuneration, buy-outs and retention awards);
- * deferral; and
- * breaches of the remuneration rules.

Current version

Published on 15 October 2025. Effective from 15 October 2025.

- * Supervisory Statement 2/17 - Remuneration (pdf)

[\[/media/boe/files/prudential-regulation/supervisory-statement/2025/ss217.pdf\]](#)

- Following PS21/25 - Remuneration Reform

Past version

* ### List of past versions

Published on 5 December 2023. Effective from 8 December 2023.

* Supervisory statement 2/17 - December 2023 (PDF)

\- Following PS16/23 - Remuneration: Enhancing proportionality for small firms

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Published 24 October 2023. Effective from 31 October 2023.

* [Supervisory Statement 2/17 - October 2023 (PDF)

[\[/media/boe/files/prudential-regulation/supervisory-statement/2023/ss217-october-2023.pdf\]](#)

- Following PS9/23 - Remuneration: Ratio between fixed and variable components of total remuneration ('bonus cap')

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Published 10 February 2023. Effective from 10 February 2023.

* Supervisory Statement 2/17 - February 2023 (PDF)

- Following PS1/23 - 'Remuneration: Unvested pay, Material Risk Takers and public appointments'

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Published 17 December 2021. Effective from 1 January 2022.

* Supervisory Statement 2/17 - December 2021 (PDF)

\- Following PS28/21 'Remuneration: Identification of material risk takers'

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Published 21 July 2021. Effective from 23 July 2021. (Superseded on 1 January 2022 by December 2021 version).

* Supervisory Statement 2/17 - July 2021 (PDF)

\- Following PS18/21 'Remuneration: Correction to the definition of 'higher paid material risk taker'

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Published 28 December 2020. Effective from 1 January 2021.

* Supervisory Statement 2/17 - December 2020 (PDF)

\- following PS29/20 'Capital Requirements Directive V (CRD V)'.

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Published on 12 April 2017. Effective from 12 April 2017 (superseded on 1 January 2020 by December 2020 version).

* Supervisory Statement 2/17 - April 2017 (pdf)

\- following PS7/17 'The PRA's expectations on remuneration'.

Prudential Regulation // PRA Regulatory Digest 02 March 2026

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